

Summary of Liquidity Ratios

Name of ratios	Formula	Interpretation
1. Current Ratio	$\frac{\text{Current Assets}}{\text{Current Liabilities}}$	Ability to meet short term obligation out of current assets
2. Quick / Liquid / Acid Test Ratio	$\frac{\text{Quick Assets}}{\text{Current Liabilities}}$	Ability to meet short term obligation out of quick assets

Where,

* Quick Assets / Liquid Assets	Current Assets – Inventory – Pre-paid expenses
Current Assets	Cash at bank / hand, Debtors (Sundry debtors, Account receivable), Bills receivable, Inventories or stocks, Prepaid expenses, Accrued income, Marketable securities or Short term investment, etc.
Current Liabilities	Creditors (Sundry creditors, Account payable), Bills payable, Outstanding wages / expenses, Short term loan, Bank overdraft, Tax payable, Dividend payable, Advance receipt, Long term loan maturing during the year etc.

Interpretation:

This ratio indicates the earnings available to meet all fixed charges. It provides a true measure of the debt servicing capacity of the organization. Generally a higher ratio is desirable. Too higher ratio reflects limited use of fixed charges sources than the potential. Similarly, a low ratio indicates excessive use of fixed charges sources.

Summary of Leverage Ratios

Name of ratios	Formula	Interpretation
1. Debt Ratio		
If CL are excluded from debt Debt Ratio	$\frac{* \text{Long-term Debt}}{\text{Total Assets}}$	How much long-term debt has been used out of total investment (short term as well as long term)
If CL are included in debt Debt Ratio	$\frac{** \text{Total Debt}}{\text{Total Assets}}$	How much total debt has been used out of total investment (short term as well as long term)
2. Debt – Equity Ratio Or, Debt to Shareholders' Fund Or, Debt to Net Worth	$\frac{\text{Long-term Debt}}{\text{Shareholders' Fund}}$	Test of solvency, to what extent interest bearing fund has been used with respect to net worth
<i>As the same pattern of debt ratio, Debt – equity ratios and Debt to total capital (capital employed) ratios can be computed with including or excluding current liabilities.</i>		
3. Debt to Total Capital Or, Debt to Capital Employed	$\frac{\text{Long-term Debt}}{\text{Capital Employed}}$	Proportion of long-term interest bearing debt out of total permanent capital. It is also test of solvency
4. Interest Coverage Ratio	$\frac{\text{EBIT}}{\text{Interest}}$	Ability for payment of interest on borrowed capital
5. Fixed Coverage Ratio	$\frac{\text{EBIT}}{\text{Interest} + \frac{\text{Pre. Dividend}}{(1 - \text{Tax rate})}}$	Capacity for payment of fixed charges out of profit

Summary of Activity Ratios

Name of ratios	Formula	Interpretation
1. Inventory Turnover If Gross profit & Opening Inventory are not given in the question, it is calculated in the following way:- Or, Inventory Turnover	$\frac{\text{Cost of Goods Sold}}{\text{Average Inventory}}$ $\text{Or, } \frac{\text{Sales}}{\text{Closing Inventory}}$	Test of efficiency in inventory management.
2. Debtors Turnover	$\frac{\text{Credit Sales}}{\text{Average Debtors}}$	Test of efficiency on collecting the debtors
3. Average Collection Period	$\frac{\text{Days in Year} \times \text{Debtors}}{\text{Credit Sales}}$ $\text{Or, } \frac{\text{Days in Year}}{\text{Debtors Turnover}}$	Number of days required for collecting the debtors
4. Fixed Assets Turnover	$\frac{\text{Sales}}{\text{Fixed Assets}}$	Effectiveness of investment on fixed assets in relation to sales
5. Current Assets Turnover	$\frac{\text{Sales}}{\text{Current Assets}}$	Effectiveness in utilizing current assets in relation to sales
6. Capital Employed Turnover	$\frac{\text{Sales}}{\text{Capital Employed}}$	Effectiveness of Capital Employed for generating sales revenue.

Summary of Profitability Ratios

Name of ratios	Formula	Interpretation
a. Gross Profit Margin	$\frac{\text{Gross Profit}}{\text{Sales}}$	Efficiency in minimizing the cost of goods sold & maximizing the profit
b. Net Profit Margin	$\frac{\text{Net Profit}}{\text{Sales}}$	Efficiency in minimizing the operating cost and maximizing the profit
c. Operating Expenses Ratio	$\frac{\text{Cost of good sold} + \text{Operating expenses}}{\text{Sales}}$	Efficiency in minimizing the total cost
d. Return on Total Assets	$\frac{\text{Earning After Tax} + \text{Interest}}{\text{Total Assets}}$	Return on investment on total assets
e. Return on Net Asset Or Return on Capital Employed	$\frac{\text{Earning After Tax} + \text{Interest}}{\text{Net assets} / \text{Capital employed}}$	Return on total permanent capital
f. Return on Shareholder fund	$\frac{\text{Earning After Tax}}{\text{Total Shareholder fund}}$	Return on total shareholder's fund (including preference share)
g. Return on Net Worth / Equity	$\frac{\text{Earning After Tax} - \text{Pre. Div.}}{\text{Net Worth}}$	Return on total fund belonging to equity shareholders'
h. Earning Per Share (EPS)	$\frac{\text{Earning After Tax} - \text{Pre. Div.}}{\text{Number of equity shares}}$	Measuring the return on each equity share
i. Dividend Per Share (DPS)	$\frac{\text{Dividend paid to equity shareholders'}}{\text{Number of equity shares}}$	Measuring the dividend distributed to each equity share
j. Dividend Pay Out Ratio	$\frac{\text{Dividend Per Share}}{\text{Earning Per Share}}$	Portion of the earning used for the payment of dividend
k. Earning Yield / Earning Price Ratio	$\frac{\text{Earning Per Share}}{\text{Market Value Per Share}}$	Measuring the earning in relation to market value of share
l. Dividend Yield	$\frac{\text{Dividend Per Share}}{\text{Market Value Per Share}}$	Measuring the dividend in relation to market value of share
m. Price Earning Ratio	$\frac{\text{Market Value Per Share}}{\text{Earning Per Share}}$	Indicates the times of EPS covered by its market price
n. Earning Power	$\frac{\text{Earning Before Interest \& Tax}}{\text{Total Assets}}$	Measuring return in relation to investment on total assets